

Communications Corporation Act, 1972

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Communications Corporation Act, 2028

Royal Seal and Publication Date

2028.12.20

Amending Acts

1. Communication Related Some Nepal Laws Amendment Act, 2029 2029.06.15
2. Judicial Administration Reform Act, 2031 2031.04.18
3. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.07.24
4. Communications Corporation (First Amendment) Act, 2045 2045.07.10
5. Communications Corporation (Second Amendment) Act, 2053 2053.08.26

Certification and Publication Date

6. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.17
7. Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075 2075.11.19

Act No. 15 of the year 2028

An Act made to establish and form a communications corporation in accordance with the national communications service plan

Preamble: Whereas, for the strengthening of national unity and economic development, it is desirable to make legal provisions concerning corporations established to operate communication services through various media in a simple, accessible, and affordable manner for the general public in accordance with the national communications service plan, and to involve the general public as much as possible to improve their economic condition and raise their standard of living;

Now, therefore, His Majesty King Mahendra Bir Bikram Shah Deva has enacted this Act on the advice and with the consent of the National Panchayat. Chapter ? 1

Preliminary

1. Short title, extent and commencement: (1) This Act may be called the "Communications Corporation Act, 2028".
- (2) This Act shall extend throughout Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..
- (3) This Act shall come into force immediately. 2. Definitions: In this Act, unless the subject or context otherwise requires,-
 - (a) "Corporation" means a corporation established pursuant to section 3.

(b) "Board of Directors" means the board of directors of the corporation.

(c) "Managing Director" means the managing director of the corporation and includes any person acting for him/her amended by the Communication Related Some Nepal Laws Amendment Act, 2029 effective from 2028.12.20..

(d) "Shareholder" means a person who takes shares of the corporation in relation to a corporation established under this Act.

(e) "Director" means a director of the corporation and includes the person chairing the committee.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act amended by the Second Amendment.. Chapter ? 2

Establishment, Capital and Management

3.

Establishment of Corporation: (1) If it appears necessary or appropriate to operate any communication service through a corporation for national interest or for the knowledge, information, entertainment, convenience or economic interest of the general public, the Government of Nepal may establish and form a corporation by publishing a notice in the Nepal Gazette specifying the following matters:- (a) The name of the corporation, (b) The location of the principal office of the corporation, (c) The objectives and duties of the corporation. (2) If it is necessary to change the name, office or objectives and duties of a corporation established pursuant to sub-section (1), the Government of Nepal may make such change by publishing a notice in the Nepal Gazette. 4. Corporation may open branch offices: The corporation may, with the approval of the Government of Nepal, open branch offices as necessary in addition to its principal office. 5. Corporation to be an autonomous and incorporated body: (1) The corporation shall be an autonomous and incorporated body with perpetual succession. (2) The corporation shall have a separate seal for all its work. (3) The corporation may, subject to this Act and the prevailing Nepal law, acquire, hold and transfer movable and immovable property in any manner like a person. (4) The corporation may sue and be sued in its own name. 6. Capital, shares and shareholders of the corporation: (1) The authorized capital of each corporation shall be as determined by the Government of Nepal. (2) The Government of Nepal shall take at least fifty-one percent of the total capital of the corporation, and amended by the Second Amendment. up to twenty-five percent of the shares shall be sold to the employees of the corporation as prescribed. The remaining shares shall be sold to the general public. An employee who has purchased shares shall not sell such shares as long as he/she remains in the service of the corporation. (3) Each share shall be indivisible. (4) Generally, a restriction may be imposed on giving more than the prescribed amended by the Communication Related Some Nepal Laws Amendment Act, 2029 effective from 2028.12.20. percentage of shares to any person or company, except employees of the corporation amended by the Communication Related Some Nepal Laws Amendment Act, 2029 effective from 2028.12.20.. (5) The liability of a shareholder of the corporation shall be limited. 7. Disqualification to be a shareholder: No person other than a citizen of Nepal or a company or cooperative registered under Nepal law or a corporation or organized body established under a Nepal Act may purchase shares of the corporation or become a shareholder without the approval of the Government of Nepal.

8. Power to take grants and loans: With the approval of the Government of Nepal, the corporation may take necessary cash or kind loans or accept grants to increase its working capital. After the provision of a General Meeting, when taking such loans or accepting grants from any foreign country or agency, the advice of the

General Meeting shall also be sought. 9. Supervision and management of the corporation: Except as otherwise provided in this Act, the Board of Directors shall supervise, direct and manage all work and activities of the corporation. Provided that, the Board of Directors may delegate such of its duties and powers as it deems necessary and appropriate to the Managing Director or a sub-committee of one or more directors or other officers of the corporation to perform and exercise, subject to the matters mentioned in this Act or the rules made under this Act. Chapter ? 3

Board of Directors

10. Formation of Board of Directors and term of office of directors: amended by the Communication Related Some Nepal Laws Amendment Act, 2029 effective from 2028.12.20. (1) The Board of Directors (hereinafter referred to as the "Board") of each corporation shall consist of five directors as follows:-

- (a) The Managing Director of the corporation,
- (b) One person elected by the General Meeting from among the non-government shareholders,
- (c) One person nominated by the Government of Nepal representing the government shares,
- (d) One person nominated by the Government of Nepal from among persons of repute in the field related to the working area of the corporation, and
- (e) One person elected from among the shareholder employees working in the corporation.

(2) Until the provision for election by the General Meeting is made or until the provision for election from among the shareholder employees under clause (e) of sub-section (1) is made, the director to be elected from the shareholders shall also be nominated by the Government of Nepal. Amended by the Communication Related Some Nepal Laws Amendment Act, 2029 effective from 2028.12.20. (3) The chairperson of the Board shall be appointed by the Government of Nepal, and if no chairperson is so appointed, the Managing Director of the corporation shall chair the Board. Added by the First Amendment. (3A) The term of office of directors elected or nominated under clauses (b), (c), (d) and (e) shall be four years, and after the expiry of their term, they may be re-elected or re-nominated.

Amended by the First Amendment. (4) Notwithstanding anything contained in sub-section (3A), the Government of Nepal may nominate another person in place of a director nominated under clauses (c) and (d) of sub-section (1) even before the expiry of his/her term of office. (5) After directors elected by the General Meeting or by the employees of the corporation amended by the First Amendment. assume office, directors nominated by the Government of Nepal shall automatically stand dissolved. Provided that, this sub-section shall not be deemed to bar a person so dissolved from being appointed or nominated as a director. Omitted by the First Amendment. (6) 11. Disqualification for being a director: The following persons shall not be eligible to be or remain a director:- (a) A person who is blind or of unsound mind, (b) A person who has been convicted of a criminal offense involving moral turpitude and sentenced to imprisonment for more than six months, and a period of five years has not elapsed from the date of completing such imprisonment, (c) A person who is unable to pay debts and has been declared insolvent, or (d) A person having any kind of private interest in any contract, lease or agreement with the corporation. 12. Circumstances for removal of a director: (1) An elected director may be removed by a majority of the shareholders present at a General Meeting in the following circumstances:- (a) If any disqualification mentioned in section 11 arises, or (b) If the director absents himself/herself from Board meetings more than three times consecutively without the permission of the Board, and such absence is not considered

reasonable in the opinion of the Government of Nepal in the case of a nominated director, or in the opinion of the General Meeting in the case of an elected director, or (c) Amended by the Communication Related Some Nepal Laws Amendment Act, 2029. If the director is proved to be a partner in any contract or lease with the corporation in violation of section 18. (2) In the case of a director elected from among the shareholder employees, if a vote of no confidence is passed by a majority of such shareholder employees. 13. Resignation of director and filling of vacancy: (1) A nominated director may resign from his/her office by giving written notice to the Government of Nepal, and an elected director by giving written notice to the Board.

Upon acceptance of the resignation, he/she shall be deemed to have vacated office. (2) If a vacancy occurs due to the death, resignation or any other reason of a nominated or elected director, such vacancy shall be filled by nomination or election, and the director so elected or nominated shall remain in that office only for the remaining term of the predecessor. (3) If any work or activity has been done by the Board despite any defect in its formation or due to a vacancy in the position of a director, such work or activity shall not be invalidated solely for that reason. 14. Remuneration of directors: The chairperson or member of the Board of Directors shall be provided with shares of the corporation as remuneration as prescribed. 15. Meeting of the Board: (1) Meetings of the Board shall be held at such time and place as the Board specifies, and the procedure for the meeting shall be as prescribed. In the absence of the chairperson, a director chosen from among themselves by the directors shall chair the meeting of the Board. (2) If more than half of the total number of members currently holding office in the Board are present at a meeting, it shall be deemed to constitute a quorum. (3) The decision of the majority of the directors present and voting at a Board meeting shall be valid. The person chairing the meeting shall not ordinarily have a vote, but in the case of a tie, he/she shall have a casting vote. 16. Appointment of Managing Director, advisors and other employees: (1) For the operation of the affairs of each corporation, the Government of Nepal may appoint one Managing Director and as many advisors as necessary, and the Board may appoint other employees. Their appointment, terms of service amended by the Communication Related Some Nepal Laws Amendment Act, 2029., term of office and remuneration shall be as prescribed. (2) The terms of appointment and service may be prescribed so that employees of the corporation are required to compulsorily purchase shares of the corporation out of the prescribed portion of their monthly remuneration. Provided that, shares shall not be sold to employees appointed on a temporary basis or to those appointed on a contract basis. Amended by the Second Amendment.17.

Director not to participate in meeting: The Managing Director or an employee who is a director pursuant to section 10 shall not participate in a meeting of the Board held for the purpose of taking action against him/her. 18. Restriction on directors and Managing Director of the corporation: A director or the Managing Director of the corporation shall not be a partner in any contract or lease with the corporation. Provided that, every director or Managing Director shall, as soon as it comes to his/her knowledge that he/she has any direct or indirect concern in any contract or lease that has been taken or given or proposed to be taken or given by the corporation and presented for consideration of the Board, present such matter promptly to the meeting of the Board amended by the Communication Related Some Nepal Laws Amendment Act, 2029.. The matter so presented shall be recorded in the minute book, and the concerned director shall not participate in any discussion or decision of the Board regarding such contract or lease. 19. Prior approval of the Government of Nepal required: The corporation shall not do the following acts without the prior approval of the Government of Nepal:- (a) Amended by the Second Amendment. To purchase or acquire any immovable property costing more than one crore rupees, or (b) Amended by the First Amendment. To take or give any immovable property as collateral for a period exceeding ten years, or (c) Amended by the First

Amendment. To sell, alienate or transfer any property, right or facility valued at more than five lakh rupees.
Chapter ? 4 General Meeting 20.

Submission of program: (1) The Board shall, at least three months before the start of its fiscal year, submit to the General Meeting for approval a proposed budget including the program of operations, details of income and expenditure for development work, details of other matters, capital investment, and if additional staff are required, details thereof, for the coming fiscal year. (2) If the corporation wishes to undertake any special work in any fiscal year in addition to the matters already included in the program submitted under sub-section (1), and if this is likely to bring about substantial changes in the proposed budget, the corporation shall submit a supplementary program and a supplementary budget of the expenditure to be incurred and the funds to be received during the remaining period of that fiscal year to the General Meeting for approval amended by the Communication Related Some Nepal Laws Amendment Act, 2029.. (3) Until the provision of a General Meeting is made, the Board shall submit the budget under sub-sections (1) and (2) to the Government of Nepal. 21. General Meeting: (1) After shares with a value of at least 5% of the share capital issued for sale by the corporation have been sold, a general meeting (hereinafter referred to as the Annual General Meeting) shall be held each year at the principal office of the corporation within ninety days from the date of closing of the annual accounts of the corporation. If at least five percent of the shareholders make a written request, or if the Board deems it necessary, a special general meeting of the corporation may be convened at any other time. (2) A general meeting shall not be deemed to have a quorum unless at least one-third of the shareholders are present in person or by proxy. However, when a meeting is convened for the second time due to lack of quorum as above, it shall be deemed to have a quorum if at least one-sixth of the shareholders are present.

Provided that, if the required quorum is not present even on the second occasion, the matter shall be submitted to the Government of Nepal and acted upon as directed. (3) At the Annual General Meeting, the shareholders present shall discuss the annual accounts and profit and loss account of the corporation, the matters contained in the auditor's report omitted by the Communication Related Some Nepal Laws Amendment Act, 2029. thereon, and the report of the Board on the work of the corporation for the year. Until the provision for an Annual General Meeting is made, those matters shall be submitted to the Government of Nepal. Amended by the Communication Related Some Nepal Laws Amendment Act, 2029. (4) A shareholder shall have the right to vote in a number equal to the percentage of shares purchased, calculated at the rate of one vote for each one percent share of the total capital of the corporation. Provided that, (a) A shareholder who has purchased less than one percent of the total capital of the corporation shall not have the right to vote. (b) If the share percentage exceeds one unit, the shareholder shall have only the number of votes equal to the lower unit until the upper unit is reached. Amended by the Communication Related Some Nepal Laws Amendment Act, 2029. (5) Shareholders shall not have the right to vote in a general meeting without being present in person or sending a proxy. Added by the Communication Related Some Nepal Laws Amendment Act, 2029. (6) Decisions at a General Meeting shall be made by a simple majority of the shareholders present and voting. 22. Right of Government of Nepal to decide: If there is a difference of opinion between the General Meeting and the Board regarding the operation of the corporation, the matter shall be submitted to the Government of Nepal for decision, and the decision given by the Government of Nepal shall be final. Chapter ? 5 Fund, Accounts and Audit 23. Fund of the corporation: (1) The corporation shall have its own separate fund.

All amounts received by the corporation, including loans and grants, shall be deposited into that fund, and amounts to be expended on behalf of the corporation shall also be paid from that fund. (2) All money in the

fund shall be deposited in a bank designated by the Government of Nepal. (3) The Board shall have the authority to expend amounts deemed appropriate for authorized activities in accordance with this Act and the rules made under this Act. 24. Corporation to assume liabilities: If any department, committee or corporation of the Government of Nepal is converted into a corporation under this Act, the corporation established by such conversion shall assume such liabilities as the Government of Nepal may specify from among the liabilities related to contracts, leases and agreements made by the Government of Nepal on behalf of such department, committee or corporation prior to such conversion. 25. Method of keeping accounts: All accounts of the income and expenditure of the corporation shall be kept in accordance with the format and method approved by the Government of Nepal. 26. Distribution of profit: The distribution and utilization of the profit made by the corporation shall be as prescribed. 27. Audit: (1) The auditor shall be appointed by the Annual General Meeting, and his/her remuneration shall be as determined by that meeting. Such auditor must be licensed to audit accounts according to Nepal law.

Provided that, until the first Annual General Meeting is held, the audit shall be conducted by an auditor appointed by the Government of Nepal. (2) The auditor may examine and inspect any accounts and documents of the corporation, and it shall be the duty of all relevant employees of the corporation to assist in such work. (3) The auditor shall submit one copy of the audit report to the Government of Nepal and another copy to the Annual General Meeting of the corporation added by the Communication Related Some Nepal Laws Amendment Act, 2029., and such report shall clearly mention the following matters:- (a) Whether the annual accounts and profit and loss account have been properly and regularly prepared, clearly showing all necessary matters so as to reflect the true financial position of the corporation, (b) Whether the corporation has provided any requested explanation or information, and if provided, whether it is satisfactory. (4) On the basis of the report received pursuant to sub-section (3), the Government of Nepal may, after obtaining the opinion of the Annual General Meeting added by the Communication Related Some Nepal Laws Amendment Act, 2029., give directions to the corporation for necessary improvements or arrangements. Chapter ? 6 Miscellaneous 28. Oath of secrecy and fidelity to be taken: Before assuming office, every director, managing director, officer and other employee of the corporation shall take an oath as specified in the Schedule. 29. Right of Government of Nepal to cause inspection: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, appoint an inspector or form a committee to inspect the work and activities of the corporation. (2) The inspector appointed or the committee formed pursuant to sub-section (1) may examine all accounts, books and documents of the corporation. (3) The procedure to be followed and the conditions to be complied with by the inspector appointed or the committee formed pursuant to sub-section (1) during the inspection shall be as prescribed by the Government of Nepal. 30.

Right of Government of Nepal to give directions: If the Government of Nepal deems it appropriate for national interest, it may give the following directions to the corporation, and it shall be the duty of the corporation to comply with such directions:- (a) To operate any service or work, specifying or not specifying a particular area, or (b) To stop doing any work being done by the corporation in a particular area, or to make any change, or to close it completely, or (c) Not to do any work that the corporation intends to do. 31. Liaison with the Government of Nepal: When the corporation communicates with the Government of Nepal in the course of its work and activities, or when the Government of Nepal gives any direction to the corporation pursuant to section 30 amended by the Communication Related Some Nepal Laws Amendment Act, 2029., it shall communicate or give directions through the Ministry of Communications and Information Technology amended by the Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075.. Added by the First Amendment.31A. Local taxes not leviable: No local tax of any kind shall be levied on the transactions of the corporation. 32. Saving of officers regarding loss or damage: No director or employee of

the corporation shall be personally liable for any loss or damage caused by any act done or attempted to be done in good faith for the purpose of performing his/her duty in accordance with this Act or the rules made under this Act. 33.

Penalties: (1) If a person whose duty it is to keep any account or submit a report in accordance with this Act or the rules made under this Act, knowingly or with mala fide intention, suppresses the truth or shows false information in such account, report or any other document, or makes a material difference, or attempts to do such act, such person shall be liable to imprisonment for up to three years or a fine of up to three thousand rupees or both. (2) If a director or any employee of the corporation, knowingly or negligently or with mala fide intention, does any act other than those mentioned in sub-section (1) and causes loss or damage to the corporation, he/she shall be liable to imprisonment for up to one year or a fine of up to one thousand rupees. (3) If any person obstructs the work of an inspector appointed or a committee formed under section 29 amended by the Communication Related Some Nepal Laws Amendment Act, 2029., or without any reasonable cause fails to provide any document or information requested, or is negligent in providing it, such person shall be liable to a fine of up to one thousand rupees. (4) If any person uses the name of the corporation in any prospectus or advertisement without the written consent of the corporation, such person shall be liable to imprisonment for up to six months or a fine of up to one thousand rupees or both. (5) If a person who is currently a director or managing director violates section 18 amended by the Communication Related Some Nepal Laws Amendment Act, 2029. and becomes a partner in a written contract with the corporation, and fails to disclose it as required by that section, or takes or attempts to take any undue advantage from such position, such person shall be liable to imprisonment for up to two years or a fine of up to five thousand rupees or both. (6) If any loss or damage has been caused to the corporation from an offense punishable under this section, the amount of such loss or damage shall also be recovered from the person committing the offense. Repealed by the Judicial Administration Reform (Fourth Amendment) Act, 2043.34. 35. Power of Government of Nepal to make Rules: The Government of Nepal may make Rules for the purpose of implementing the objectives of this Act. Amended by the Second Amendment.36.

Power to make Regulations: (1) The corporation may make Regulations subject to this Act and the Rules made under this Act. (2) Regulations made under sub-section (1) shall come into force only after approval from the Ministry of Communications and Information Technology amended by the Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075.. 37. Savings: Matters provided for in this Act and the Rules made under this Act shall be governed accordingly, and other matters shall be governed by the prevailing Nepal law. Schedule (Amended by the Communication Related Some Nepal Laws Amendment Act, 2029. Related to section 28) Oath of Integrity and Secrecy I, , do swear that I will honestly and faithfully perform, to the best of my ability, the duties that may come upon me in my capacity as a director, managing director, employee, inspector or officer of the corporation, or in matters related to my position in the corporation. I further swear that I will not disclose or cause to be disclosed any information relating to the corporation to any unauthorized person, nor allow any person to inspect or receive any book or document relating to the corporation that is in my custody.